

Palantir Technologies Inc.

PLTR NYSE

Hold	\$158.97 ▲ 26.52%	12M Price Target \$165.00	52-Week Range \$106.37 – \$207.52	Market Cap \$381.06B
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PLTR: Otherworldly Quarter Meets Sky-High Expectations

WHAT HAPPENED

- PLTR just ripped 26% overnight after what analysts are literally calling an "otherworldly" Q2 — the US commercial business (their non-government segment) is exploding, and they raised full-year guidance again. This matters because the bear case on PLTR was always "it's just a government contractor" — this quarter blows that up.
- The options market is screaming bullish (put/call ratio of 0.35 means 3x more call buyers than put buyers), and unusual call buying at \$155-\$160 strikes suggests traders are betting the momentum continues short-term.

WHY IT MATTERS

Here's what I'm actually thinking: the commercial business surge is the real story, because it de-risks the political dependency. But at \$381B market cap on ~\$4.8B of revenue, you're paying ~80x sales — that only works if growth stays north of 40% for years. The AI spending environment is a massive tailwind (both the Trump admin's AI infrastructure push and enterprise FOMO are pouring money into the space), but the setup now is dangerous: expectations just got reset to "otherworldly" every quarter. One inline quarter and this thing gives back 30%+ fast. Also worth noting — director Alex Moore sold ~\$2M of stock in mid-July around \$134. Not a huge signal, but insiders aren't buying at these levels.

POLICY & POLITICAL WATCH

The big tailwind: the administration's AI executive orders and the ongoing defense budget expansion are directly funneling money toward Palantir — they're the go-to vendor for DoD AI/data integration (Maven, TITAN, etc.). Watch the FY2027 defense appropriations debate this fall; any expansion of AI-specific line items is a direct PLTR win. The wildcard risk: bipartisan noise around AI safety regulation and data privacy laws — if Congress moves on comprehensive AI governance (still stuck in committee), compliance costs go up industry-wide, but that likely benefits PLTR since they're already deeply embedded in federal security frameworks. Basically a moat-builder for them.

IS IT EXPENSIVE?

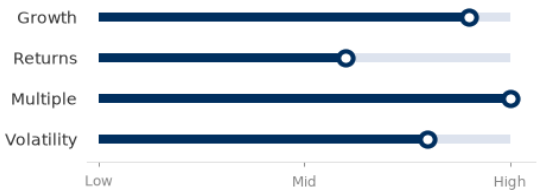
Straight up: this is one of the most expensive stocks in the S&P 500. At ~80x forward sales and ~220x forward earnings, investors are paying \$220 for every \$1 of profit — the S&P average is closer to \$22. That's only justifiable if PLTR compounds revenue at 40%+ for the next 5 years, which is possible but leaves zero margin for error. The business momentum is real, but the price already assumes near-perfect execution.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$158.97
12M Price Target	\$165.00
Upside / (Downside)	+3.8%
Market Cap	\$381.06B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$0.98
Fwd P/E	220.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$180.00	\$160.00	\$135.00
6 Months	\$210.00	\$165.00	\$120.00
1 Year	\$240.00	\$175.00	\$110.00
2 Years	\$300.00	\$200.00	\$95.00
5 Years	\$450.00	\$275.00	\$80.00
10 Years	\$700.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.6% today, +7.8% this week) is on fire, led by AI/data names — the combo of strong earnings and US-Iran de-escalation is fueling risk-on. Defense-tech and AI infrastructure specifically benefit from ongoing federal spending momentum.

COOLING OFF: Materials and Consumer Discretionary are lagging — tariff uncertainty and consumer softness are the headwinds.

ROTATION WATCH: Money is flowing hard into AI/software winners and out of defensive/cyclical plays. The Hormuz tension easing removed a fear premium from tech.

RELATED PLAY: If PLTR keeps ripping, watch the data infrastructure layer — Snowflake (SNOW), MongoDB (MDB), and hyperscalers like Microsoft (MSFT) all benefit from the same enterprise AI spending wave. Data storage names are already moving (see the 50% pop mentioned in the headlines).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the picks-and-shovels king of AI — every enterprise AI buildout eventually routes revenue through them.
- ANET (Arista Networks): AI datacenter networking beneficiary — quieter story but earnings have been consistently strong.

PLTR CONTEXT: PLTR is LEADING its peer group by a mile today — up 26% while tech broadly is +3.6%. That's a sign it's the momentum name of the moment, but it also means it's the most vulnerable to profit-taking. When a stock becomes THE trade, that's usually late-cycle for that move.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the entry price right after a 26% single-day pop. This is a great company at a scary valuation.

POSITION SIZE: 2-3% max. The business is real but volatility is real too — this stock can drop 30% on a mediocre quarter given the multiple.

ENTRY POINTS: I wouldn't chase here. Wait for a pullback to \$130-140 (which is very possible in the next 4-8 weeks as the euphoria fades). If you already own it, trim 20-30% into this strength — take some chips off the table.

TIME HORIZON: 12-24 months. The catalyst I'm watching: FY2027 defense budget outcomes and whether commercial revenue growth stays above 40% for 4 more quarters.

WHEN TO BAIL: US commercial growth drops below 40% YoY, OR the stock breaks \$115 on heavy volume (would signal the momentum trade is broken).

HEDGING: Simplest play — buy a protective put 20% below your cost basis (basically insurance that pays out if the stock crashes). Costs a bit of your upside but lets you sleep. Or just don't oversize the position in the first place.